No. 18-0918

IN THE

Supreme Court of the United States

October Term, 2018

IN RE BACKSTREETS PLOWING, INC.,
Debtor

STEVEN VIN SANT, CHAPTER 7 TRUSTEE,
Petitioner,

v.

MILTON WEINBERG,
Respondent.

ON WRIT OF CERTIORARI
TO THE
UNITED STATES COURT OF APPEALS
FOR THE THIRTEENTH CIRCUIT

BRIEF FOR RESPONDENT

Team Number 26 / R

Counsel for Respondent

QUESTIONS PRESENTED FOR REVIEW

1. Under 11 U.S.C. § 362(a)(3) does a secured creditor commit an act in violation of the automatic stay when it passively retains possession of collateral lawfully repossessed from the debtor prior to the petition date?
2. Under the expansive language used in 11 U.S.C. § 503(b) does a court have authority to grant an administrative expense in a chapter 7 case when a creditor helps the trustee recover a substantial sum of money?

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OPINIONS BELOW

In separate rulings, the United States Bankruptcy Court for the District of Moot held that Weinberg's mere retention of property was not a violation of the automatic stay and granted him an allowed administrative expense of $25,000.00. R. at 6, 8. Petitioner appealed to the Bankruptcy Appellate Panel which affirmed on both issues. R. at 9. Petitioner then appealed to the United States Court of Appeals for the Thirteenth Circuit which affirmed the bankruptcy court on both issues, holding in its published opinion that: § 362(a)(3) does not prohibit a secured creditor from passively retaining estate property that was lawfully repossessed prepetition; and substantial contribution administrative expenses are permitted in chapter 7. R. at 9, 16. This Court granted certiorari for the October Term 2018.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISION INVOLVED

The Bankruptcy Code (the "Code") provisions listed below are relevant to determine the present case. These provisions are reproduced in Appendices A through H.

11 U.S.C. §§ 102, 103(a), 105(a), 362(a)(3), 363, 503, 542, 707(a) (2012).

STATEMENT OF THE CASE

The Deal

Milton Weinberg, Respondent, an individual (hereinafter "Weinberg"), was approached by local business owner Christopher Clemons (hereinafter "Clemons"), the sole shareholder of Backstreets Plowing, Inc. (hereinafter "Backstreets" or "Debtor"), a seasonal snow plow business in the spring of 2015 for a loan. R. at 3–4. Backstreets desired to upgrade its fleet of snow plow trucks due to the rising costs of maintaining its aging fleet and to make it competitive for a municipal plowing contract. *Id.* Weinberg agreed to help and personally provided a $450,000 loan to Backstreets in August 2015. R. at 4.

The promissory note was favorable to Backstreets, delaying payments until December 2015 when the new trucks would begin bringing in revenue. *Id.* Backstreets granted Weinberg a security interest in the trucks, which was properly perfected. *Id.* Additionally, Clemons personally guaranteed the loan. *Id.*

Shortly after receiving the loan, Backstreets purchased the new trucks and submitted a bid for the seemingly valuable plowing contract with the City of Badlands (hereinafter the "City"). *Id.* Indeed, this was a potentially valuable contract, but the bid submitted by Backstreets was poorly calculated. *Id.* Being remarkably lower than other bids, the City accepted Backstreets' proposal despite several city council members publicly questioning whether performance was possible given the low projected profits. *Id.* The contract guaranteed one year of work and paid a flat fee whether it snowed or not. *Id.*

Backstreets' Delinquency

Despite a profitable winter, Backstreets failed to make the required payments for December 2015 through February 2016. R. at 5. This was likely out of spite after an argument with Weinberg

over college football. *Id.* After three missed payments, Weinberg attempted to contact Clemons regarding payment on the note. *Id.* These calls went unanswered, leading Weinberg to drive to the Backstreets facility in February 2016 where another argument ensued. *Id.* Clemons ordered Backstreets' drivers to forcibly remove Weinberg from the premises. *Id.*

Five months after the deferred payments were to begin, Backstreets still had not made a single payment on the note. *Id.* Weinberg filed suit on the promissory note in the State of Moot Circuit Court against Debtor and Clemons in April 2016. *Id.* The suit ended in October 2016 with Weinberg obtaining a default judgment against both the Backstreets and Clemons, jointly and severally, for $450,000 plus interest and fees. *Id.* Weinberg was satisfied with the result and saw no reason to take immediate action on his judgment. *Id.*

After delaying the inevitable, Backstreets began to feel the wrath of their miscalculated deal with the City in the winter of 2016–2017. R. at 5–6. Their flat rate payments from the City were insufficient to cover operating costs. *Id.* Weinberg hired a repossession company and began pursuing the collection of his judgment in January 2017. R. at 6. In late January, the trucks were lawfully repossessed. *Id.* The trucks were delivered to Weinberg's warehouse, where they remain stored to this day. *Id.* Weinberg took no further action with the trucks. *Id.*

Backstreets' Bankruptcy

Rather than negotiate with Weinberg for the return of the trucks to fulfill its ill-advised contract with the City, the Debtor responded by filing for chapter 11 protection on February 4, 2017, with its attorney demanding that the trucks be returned by Weinberg. *Id.* Under a good-faith impression the Debtor had to bring a turnover action where Weinberg could receive adequate protection of his interest in the snow plow trucks, Weinberg took no further action. *Id.* Instead of commencing a turnover action, the Debtor filed a motion asking the court to determine Weinberg's

continued retention of the trucks was a violation of the automatic stay under § 362(a)(3). *Id.* However, the court rejected this motion, correctly finding Weinberg had not violated the stay. *Id.*

In March 2017, Debtor appealed the Court's ruling, and decided to voluntarily convert to a chapter 7 after the City decided not to offer Debtor a new contract. R. at 6–7. On April 13, 2017, Steven Vin Sant (hereinafter "Trustee") was appointed as Trustee to administer the bankruptcy estate and liquidate its property. R. at 7. Weinberg decided to pursue collection efforts against Clemons on the personal guarantee judgment. *Id.* Suspecting foul play, Weinberg hired a law firm which took a creditors examination in May 2017. *Id.* Weinberg's suspicions were confirmed when the firm discovered that, beginning in May 2016, Debtor made transfers of approximately $100,000 to the bank account of Patti Clemons, daughter of Christopher Clemons. *Id.* While defending the action Weinberg brought to collect on the promissory note, Clemons desperately hid the funds Weinberg was entitled to. *Id.*

The Substantial Contribution

Wanting to maximize the value of the estate, Weinberg—instead of pursuing the action himself—provided the Trustee with documentation and testimony to establish these transfers were avoidable as fraudulent transfers. *Id.* The Trustee filed a complaint against Ms. Clemons to avoid and recover the transfers pursuant to sections 548 and 550. Rather than seek a return of all the funds unlawfully transferred from the penniless estate, the Trustee settled for only $75,000 to satisfy the claims asserted against Ms. Clemons. *Id.*

Weinberg filed a motion rightfully seeking allowance of a substantial contribution for the legal fees incurred in bringing these funds—that would not be available without his diligence—into the estate. R. at 7–8. For the $25,000 expenditure on legal fees which brought a substantial return on investment for the estate, recovering three times that amount. *Id.* The Trustee

acknowledged Weinberg made a substantial contribution but opposed the motion, incorrectly claiming the section limits them to chapters 9 and 11. R. at 7–8. However, the bankruptcy court disagreed, approving Weinberg's motion and granting an allowed expense. R. at 8. The Trustee decided to appeal this decision further expending judicial and estate resources. *Id.*

Backstreets' Sale

While the two appeals were pending, in September 2017, the Trustee attempted to sell the business as a going concern. *Id.* Tenth Avenue, a company with plowing contracts in several municipalities, offered to purchase substantially all of Debtor's assets including the trucks. *Id.* However, its offer was contingent on the Trustee immediately obtaining possession of and conveying title to the snow plow trucks still held by Weinberg. *Id.* Attempting to hastily close the deal the Trustee started negotiations with Weinberg for return of the trucks. *Id.* At the same time the Trustee continued prosecution of the appeal for Weinberg's alleged violation of the automatic stay, hoping to pressure Weinberg into turning over the trucks so the sale could be completed—instead of compromising with Weinberg, to the detriment of the estate. *Id.*

With the flawed negotiations unsuccessful, in November 2017 Tenth Avenue withdrew its offer. *Id.* Another company, Stone Pony, made an offer to purchase Debtor's assets excepting the trucks for $100,000 less in January 2018. *Id.* In February, with court approval the Trustee accepted this offer. R. at 8–9. Still, the Trustee decided to continue the appeals, refusing to dismiss them. R. at 9. They were consolidated and heard before the bankruptcy appellate panel and the Thirteenth Circuit which affirmed on both issues. *Id.* The Trustee then petitioned for a writ of certiorari, which this Court granted. *Id.*

SUMMARY OF THE ARGUMENT

The Thirteenth Circuit correctly affirmed both issues on appeal: finding that a holistic reading of each statute's text within the context of the code justifies the bankruptcy court's conclusion that Weinberg did not violate the automatic stay; and was entitled to administrative expenses.

Section 362(a)(3) is not violated when a secured creditor passively retains possession of collateral it lawfully repossessed pre-petition. First, in its plain meaning, § 362(a)(3) prohibits only affirmative acts to gain possession of, and acts to exercise control over, property of the estate occurring *after* the bankruptcy petition is filed. A creditor who merely possesses collateral after the petition date has not committed either of the acts prohibited under § 362(a)(3).

Second, § 362(a)(3) does not place an affirmative duty on creditors to turn over collateral upon notification of a debtor's bankruptcy filing. Section 362(a)(3) works to preserve the condition of the bankrupt estate by prohibiting acts by creditors to advance their rights after the petition is filed. While a creditor may ultimately be ordered to turn over collateral, turnover is not self-effectuating. Turnover must be requested through an adversary proceeding and is subject to the creditor's receipt of adequate protection. Thus, even if § 362(a)(3) were read to include a creditor's inaction, it does not create an affirmative duty to act in the absence of a turnover order.

Lastly, there is no indication of Congress' intent to impose an affirmative duty on the creditor to turn over lawfully retained collateral. Reading § 362(a)(3) or any of the Code's turnover provisions as such would lead to absurd results—robbing creditors of the rights afforded to them by the Code. Accordingly, a plain, holistic reading of § 362(a)(3) does not prohibit the mere possession of collateral lawfully repossessed pre-petition.

Because § 362(a)(3) only applies to affirmative acts and turnover is not self-effectuating, the Thirteenth Circuit correctly found that a creditors passive retention of collateral does not violate the automatic stay.

The second certified question on appeal can be succinctly answered: yes. Section 503(b) recognizes Weinberg's substantial contribution to an impecunious estate by allowing an administrative expense. Section 503(b)'s acknowledgement of Weinberg's entitlement to this expense is found within the words, context, and purpose of the Code, instead of relying solely on a single provision.

First, the Thirteenth Circuit followed this Court's long-standing rules of statutory interpretation. Congressional intent is most readily found in the words that were made law; § 503(b)'s words expressly created an expansive category of administrative expenses. Reading § 503(b) as an expansive list is consistent within the Code as other, similar provisions have been interpreted to grant courts discretion to adapt to new circumstances.

The Code's context—reading the entire provision as part of a cohesive system of bankruptcy—places § 503(b) as a provision that advances several objectives. A different interpretation unjustifiably looks to only one objective without considering others Congress sought to pursue with § 503(b); above all, Bankruptcy's fundamental goal of promoting acts that benefit the estate.

Finally, the United States Bankruptcy Court for the District of Moot, the Bankruptcy Appellate Panel for the Thirteenth Circuit, and the Thirteenth Circuit, consistent with many other courts, all recognized that Congress permitted an exercise of equitable powers to grant an administrative expense within the confines of the Code.

As set forth below, Appellee Weinberg respectfully submits that a creditor's post-petition retention of lawfully-repossessed collateral, without a turnover order or receipt of adequate protection, is not a violation of the automatic stay because it is not an act to change the status quo at the time the petition is filed. Further, the plain meaning of § 503(b) does not limit the bankruptcy court's discretion. Thus, absent an express prohibition by Congress for substantial contribution administrative expenses in chapter 7 cases, a bankruptcy court may grant an administrative expense within its equitable powers.

ARGUMENT

I. SECTION 362(a)(3) DOES NOT PROHIBIT A CREDITOR'S PASSIVE RETENTION OF LAWFULLY REPOSSESED COLLATERAL.

Weinberg's passive retention of collateral post-petition merely maintains the pre-petition status quo of the bankrupt estate and is not a violation of the automatic stay. Interpreting § 362(a)(3) of the Bankruptcy Code to read as such would "reach impermissibly beyond the text of the statute." *Denby-Peterson v. Nu2u Auto World*, No., 17-9985, 2018 WL 5729907, at *10–11. (D.N.J. Nov. 1, 2018). The Bankruptcy Code imposes an automatic stay of "any act to obtain possession of property of the estate . . . or to exercise control over property of the estate." 11 U.S.C. § 362(a)(3) (2012). The passive possession of collateral is not an "act to obtain possession of property of the estate," nor is a creditor's inaction an "act . . . to exercise control over property of the estate." *Id.*

First, the language of § 362(a)(3) read in its entirety indicates that it is the act of exercising control over property, not mere control of property that is prohibited by the automatic stay. *See, e.g., WD Equip., LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 949 (10th Cir. 2017). Second, § 362(a)(3)'s interaction with other provisions of the Code supports finding that a creditor who passively retains collateral, absent a turnover order, is compliant with the automatic stay. *See, e.g.*,

United States v. Inslaw, 932 F.2d 1467, 1474 (D.C. Cir. 1991). Thus, even if § 362(a)(3) were interpreted to apply to a creditor's mere inaction, it does not serve as a mandatory injunction requiring a creditor in possession of lawfully-repossessed collateral to turn it over. *See, e.g., In re Hall*, 502 B.R. 650, 659 (Bankr. D.D.C. 2014). Finally, finding that a creditor who passively retains property, without being ordered to turn over the property, causes a gross imbalance in the equity of the bankruptcy system. Broadening § 362(a)(3) would produce absurd results, diminishing the rights of creditors while providing a potential avenue for abuse if debtors were able to get their lawfully-repossessed property back without first providing adequate protection.

A. The language in § 362(a)(3) indicates that a creditor's post-petition retention of collateral is insufficient to find a violation of the automatic stay.

The plain language of § 362(a)(3) is conclusive evidence that Congress only intended to prohibit affirmative acts that threaten to distort the status quo of the estate at the time the bankruptcy petition is filed. *See, e.g.*, *Inslaw*, 932 F.2d at 1474. A creditor who passively possesses property that was lawfully acquired pre-petition does not violate the automatic stay because it has not committed an affirmative act post-petition. *See, e.g.*, *Cowen*, 849 F.3d at 949. Thus, Weinberg's passive possession is not prohibited by the automatic stay, which unambiguously prohibits entities from "doing something" to obtain possession of, or to exercise control over, property of the estate. 11 U.S.C. § 362(a)(3); *Act*, BLACK'S LAW DICTIONARY (10th ed. 2014).

Jurisdictions interpreting the entirety of § 362(a)(3)'s text hold that Congress' use of "act" in § 362(a)(3) indicates that some affirmative, post-petition conduct is required for a stay violation to be found.[1] *See Davis v. Tyson Prepared Foods, Inc. (In re Garcia)*, 740 F. App'x 163, 164 (10th

[1] Although circuit courts of appeal remain divided when interpreting § 362(a)(3), the minority view is trending in circuits that have yet to decide this issue, *see Denby-Peterson*, 2018 WL 5729907, at *7 (analyzing the circuit split

Cir. 2018); *Cowen*, 849 F.3d at 949; *Inslaw*, 932 F.2d at 1474. The "status quo" approach properly interprets the plain meaning of § 362(a)(3)'s text within the context of the Code's automatic stay provisions—preserving the petition-date condition of the bankrupt estate. Thus, the status quo view strikes a balance between the interests of the estate and a creditor's right to defend a turnover action by allowing the estate to use property lawfully-held by a creditor *after* adequate protection is secured.

Instead of a sound, principled interpretation of the statute, some courts have interpreted § 362(a)(3) through the tainted lens of "practical" and "policy" considerations to hold that passive retention of property violates the automatic stay. *See, e.g.*, *Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 81 (2d Cir. 2013); *Thompson v. General Motors Acceptance Corp.*, 566 F.3d 699, 704 (7th Cir. 2009); *see also* Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part II): Who is "Exercising Control" Over What?*, 33 BANKR. L. LETTER 9, Sept. 2013, at 1 [hereinafter Brubaker, *(Part II)*]. The "passive violation" courts' scant interpretation of the statutory language focuses on the plain meaning of only two words: "exercise control." *See, e.g.*, *Weber*, 719 F.3d at 79; *Thompson*, 566 F.3d at 702. Instead of looking at the language of the entire provision—or even the whole clause at issue—courts using this interpretation of § 362(a)(3) find the plain meaning of "control" commensurate with a creditor's passive retention of property. *See, e.g.*, *Thompson*, 566 F.3d at 702. Admittedly, retaining collateral may constitute a violation of the stay if a creditor only has to "control" property, however, § 362(a)(3) prohibits *acts* to exercise control—something that changes the petition date status quo of the bankrupt estate.

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and finding the minority position more persuasive due to its plain meaning, lack of language indicating an affirmative duty, and compliance with the context of the automatic stay), and is challenging the passive violation approach in other circuits. *See City of Chicago v. Fulton*, No. 18-2527 (7th Cir. Filed Dec. 17, 2018) (arguing that *Thompson v. GMAC* should be overturned because it is inconsistent with the plain text of the Code and renders the Code's turnover provisions meaningless).

As justification for their broad departure from a holistic analysis of § 362(a)(3)'s text, courts construing this provision under the passive violation approach rely on the plain meaning of the isolated phrase "exercise control." *See, e.g.*, *Weber*, 719 F.3d at 79; *Thompson*, 566 F.3d at 702. Because this overbroad interpretation is based on an incomplete analysis of § 362(a)(3)'s text, it cannot stand. *See Ransom v. FIA Card Servs., N.A.*, 562 U.S. 61, 70 (2011) ("[W]e must give effect to every word of a statute, wherever possible." (quoting *Leocal v. Ashcroft*, 543 U.S. 1, 12 (2004))).

Passively possessing collateral without any further action—absent a turnover order from the bankruptcy court—is diametric to the plain meaning of § 362(a)(3) and is not a violation of the automatic stay. *Cowen*, 849 F.3d at 949 ("It does not cover 'the act passively holding onto an asset.'" (citing *Thompson*, 566 F.3d at 703)); *accord Inslaw*, 932 F.2d at 1474 ("The statutory language makes clear that the stay applies only to acts taken *after* the petition is filed."). A proper analysis of § 362(a)(3) begins with the statutory language. *United States v. Ron Pair Enters., Inc*, 489 U.S. 235, 241 (1989). "When the statute's language is plain, the sole function of the courts . . . is to enforce it according to its terms." *Lamie v. U.S. Trustee*, 540 U.S. 526, 534 (2004) (quoting *Hartford Underwriters Ins. Co. V. Union Planters Bank, N.A.*, 530 U.S. 1, 6 (2000)). If the words are deemed unambiguous, then "judicial inquiry is complete." *See Conn. Nat'l Bank v. Germain*, 503 U.S. 249, 253–254 (1992).

When interpreting a statute, courts must give "effect 'to every clause and word of the statute,'" not merely those that support their point. *Negonsott v. Samuels*, 507 U.S. 99, 106 (1993) (quoting *Moskal v. United States*, 498 U.S. 103, 109–10 (1990)). Looking at the statute in its entirety, you must also consider the prepositive modifier "any act" which applies to both of the infinitive phrases: "to obtain possession" and "to exercise control." Accordingly, § 362(a)(3) acts

as a stay of acts to obtain possession and acts to exercise control. Thus, a plain reading of § 362(a)(3) indicates that a creditor's mere inaction is not an "act" prohibited by the automatic stay.

The ordinary meaning of the text in § 362(a)(3), which prohibits affirmative acts intended to thwart the interest of the estate, must be used because the words used are not terms of art, nor are they expressly defined by statute. *See Asgrow Seed Co. v. Winterboer*, 513 U.S. 179, 187 (1995). An act is defined as the "process of doing or performing." *Act*, BLACK'S LAW DICTIONARY (10th ed. 2014). Thus, passively retaining property is the antithesis of an act. Accordingly, the plain language of the entire statute indicates that only conduct aimed at "doing something" to change the status quo of the bankrupt estate on the petition date, not omissions to act, are prohibited by § 362(a)(3). Therefore, § 362(a)(3) unambiguously proclaims that a creditor who passively possesses property it lawfully acquired prepetition—and hasn't done a single thing with it—has not committed an act to "exercise control over property of the estate" and their conduct does not violate the automatic stay.

This view is cognizant with the Supreme Court's interpretation of § 362(a)(3) in *Citizens Bank v. Strumpf*. 516 U.S. 16, 21 (1995) (holding that a bank's refusal to pay the debtor in possession depositor money in the debtor's bank account "was neither a taking of possession of [debtor's] property nor an exercising of control over it"). Like the bank in *Strumpf* which placed an administrative hold on the debtor's account, *id.* at 18, the Weinberg merely refused to return property in which he had a lawful interest and did nothing further to advance that interest. R. at 6. Accordingly, Weinberg's inaction is not a violation of the automatic stay under § 362(a)(3).

A creditor's reluctance to turn over lawfully-repossessed collateral before an action compelling turnover is commenced or adequate protection is shown is an omission, not an act. It is uncontroverted that Weinberg's only "act" occurred prior to the petition date. R. at 6. Weinberg's

valid belief that he is entitled to hold the lawfully-obtained collateral until adequate protection is shown is not the kind of contemptuous conduct the automatic stay is intended to prohibit. Thus, a secured creditor's inaction—absent an order compelling action—is not a violation of the automatic stay under § 362(a)(3).

B. The filing of a bankruptcy petition does not place an affirmative duty upon a secured creditor to turn over collateral that was lawfully repossessed pre-petition.

While § 362(a)(3) averts non-debtors from acting to further their rights in property, it does not require them to abandon rights they possessed pre-petition. If Congress desired an affirmative duty to turn over property upon the filing of a bankruptcy petition, they would have crafted statutory text imposing such a duty. Instead, Congress chose not to include an affirmative turnover duty; thus, interpreting § 362(a)(3) to include this broad expansion of the text—absent any statutory language or legislative history—"reaches impermissibly beyond the text of the statute." *Denby-Peterson*, 2018 WL 5729907, at *11.

i. Section 542(a)'s turnover power is not self-effectuating thus § 362(a)(3) does not serve as a mandatory injunction requiring creditors to turn over collateral upon the filing of a petition.

Stay means stay, not go. *Cowen*, 849 F.3d at 949. The incorrect conclusion that a creditor's inaction is an act to exercise control of property relies on the mistaken assumption that § 362(a)(3) serves as a mandatory injunction requiring turnover. *See, e.g.*, *Thompson*, 566 F.3d at 704 (finding turnover compulsory, even absent adequate protection). However, viewing § 362(a)(3) as a mandatory injunction cuts against the purpose of the automatic stay—which is intended to preserve the petition date status quo of the bankrupt estate. While the passive violation courts indicate that their interpretation promotes the Code's policy objectives, *see, e.g.*, *id.* at 706, these policy objectives cannot destroy the rights afforded to secured creditors in the Code. "The act cannot be

held to destroy itself." *Citizens Bank*, 516 U.S. at 20 (quoting *Texas & Pac. Ry. Co. v. Abilene Cotton Oil Co.*, 204 U.S. 426, 446 (1907)).

Reading § 362(a)(3) as a mandatory injunction requiring a non-debtor to turn over collateral renders the procedures and creditor protections in the Code's turnover provisions meaningless. "Whenever possible, . . . [courts] should favor an interpretation that gives meaning to each statutory provision." *Life Technologies Corp. v. Promega Corp.*, 137 S. Ct. 734, 740 (2017). Looking at § 362(a)(3) in context with other relevant provisions of the Code provides clear evidence that turnover power is not self-effectuating. *See FDA v. Brown & Williamson Tobacco Corp.*, 529 U.S. 120, 133 (2000) ("It is a 'fundamental canon of statutory construction that the words of a statute must be read in their context and with a view to their place in the overall statutory scheme.'" (citation omitted)).

Turnover power, codified in § 542(a), allows the bankruptcy trustee to recover property that was "out of the possession of the debtor, yet remained 'property of the debtor'" on the petition date. *Inslaw*, 932 F.3d at 1471 (citing legislative history). It provides that "an entity . . . in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under § 363" shall deliver that property to the trustee unless it has a minimal benefit to the estate. 11 U.S.C. § 542(a) (2012). However, this turnover power is not absolute; § 542(a) merely establishes the procedure whereby a trustee can seek turnover through an adversary proceeding. *See In re Hall*, 502 B.R. at 654–59 (analyzing the history and purpose of turnover power).

Courts following the passive violation approach mistakenly reason that § 542(a)'s turnover power is self-effectuating, thus making a creditor's inaction a violation of the automatic stay. *See, e.g.*, *Weber*, 719 F.3d at 79. However, there is "no textual link between § 542 and § 362," and "[i]f Congress had meant to add an affirmative obligation—to the automatic stay provision no less, as

opposed to the turnover provision—to turn over property" it would have done so explicitly. *Cowen*, 849 F.3d at 950. Further, this gross expansion of § 362(a)(3)'s power nullifies a creditor's right to defend against the turnover action and seek adequate protection—rights the Code clearly affords creditors.[2] *See* 11 U.S.C. §§ 363, 542(a). Indeed, this Court in *United States v. Whiting Pools* acknowledged that the "Bankruptcy Code provides secured creditors various rights, including the right to adequate protection." 462 U.S. 198, 206 (1983).

This Court's interpretation of § 542(a) in *Whiting Pools* does not indicate that turnover is self-effectuating. *See Thompson*, 566 F.3d at 705. Instead, the holding in *Whiting Pools* merely recognized the long-standing precedent behind the notion that a "bankruptcy court [can] order the turnover of collateral in the hands of a secured creditor." 462 U.S. at 208 (noting that "[n]othing in the legislative history evinces a congressional intent to depart from [pre-Code] practice"). Indeed, if § 542(a) acted as a self-executing turnover order, "then a subsequent turnover order would be entirely unnecessary." Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part I): Origins and Evolution of the Turnover Power*, 33 BANKR. L. LETTER 8, Aug. 2013, at 9. Here, no turnover order was issued, R. at 6, unlike in *Whiting Pools* where the IRS challenged the bankruptcy court's authority to order turnover of seized property. *Whiting*, 462 U.S. at 201. Weinberg is not challenging the authority of a bankruptcy court to order turnover subject to the limitations accorded by the Code, he is merely asserting that the rights given to secured creditors—and acknowledged by this Court in *Whiting*—cannot be overshadowed by the automatic stay.

[2] Treating turnover as self-effectuating under § 362(a)(3) may even require this Court to consider whether this practice could be sustained constitutionally. *See cf.*, *Connecticut v. Doehr*, 501 U.S. 1, 12 (1991) (holding *ex parte* deprivation of property unconstitutional).

There is no textual link between § 542(a) and § 362(a)(3), whereas § 542(a) explicitly references § 363, which limits turnover to property the trustee may "use, sell, or lease" and conditions the estate's use of such property on "notice and a hearing." 11 U.S.C. § 363(b)(1) (2012). Further, § 363(e) requires the court to "prohibit or condition" turnover "as is necessary to provide adequate protection of" the non-debtor's interest in the property, and the trustee bears the burden of proving adequate protection. *Id.* § 363(e), (p). Additionally, Bankruptcy Rule 7001(1) establishes the procedural requirements before turnover can be compelled by providing that "a proceeding to recover money or property," requires the commencement of an adversary proceeding, and the procedural protections contemplated therein. *See, e.g.*, *In re Perkins*, 902 F.2d 1254, 1258 (7th Cir. 1990) (citation omitted) (holding that turnover actions fall within the scope of Bankruptcy Rule 7001(1)). Consequently, the Code's turnover provisions make it clear that this remedy is subject to a creditor's right to due process in the bankruptcy system.

Giving weight to all relevant provisions of the Code, an adversary proceeding seeking turnover must be filed against a creditor, allowing the bankruptcy court to carefully and expeditiously consider a creditor's defenses to turnover before an order is issued. *See Denby-Peterson*, 2018 WL 5729907, at *13 (D.N.J. 2018). Thus, the Debtor should have filed a turnover action, shown that the snow plow trucks were adequately protected by his insurance, and let the bankruptcy court take care of Weinberg's interest. Instead, the Debtor jumped the gun, asking the bankruptcy court to find that Weinberg's inaction violated the automatic stay. R. at 6. Fortunately, the Thirteenth Circuit found that Weinberg's passive retention was not a violation of the automatic stay under § 362(a)(3) and that decision should be upheld. *Id.*

ii. The majority's interpretation of Congress' intent in the 1984 amendment of § 362(a)(3) is not supported by the statute's text or legislative history.

It must be presumed that Congress expressed their intent through the carefully crafted words of a statute. *Ron Pair Enters.*, 489 U.S. at 240–41. Absent evidence of intent to sway from long standing practice, the statute cannot be interpreted to stand for something outside the bounds of Congress' intent. *See United Sav. Ass'n of Tex v. Timbers of Inwood Forest Assocs., Ltd.*, 484 U.S. 365, 380 (1988).

Congress' 1984 amendment of § 362(a)(3) added a prohibition on acts "to exercise control over property of the estate." *See* 11 U.S.C. § 362(a)(3) (1988); Pub. L. No. 98-353, § 441, 98 Stat. 371 (1984). Consequently, giving meaning to each word in § 362(a)(3), Congress must have intended for control to apply to conduct other than possession. *In re Young*, 193 B.R. 620, 624 (Bankr. D.D.C. 1996). This amendment was undoubtedly added to distinguish acts to "control" from the already-prohibited acts to obtain "possession," encompassing nonpossessory conduct that would interfere with the estate's authority over a particular property interest. Brubaker, *(Part II)* at 10. The passive violation view sees § 362(a)(3)'s use of "control" as a form of possession. *See* Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay: A Reply to Judge Wedoff*, 38 BANKR. L. LETTER 11, Nov. 2018 [hereinafter Brubaker, *A Reply to Judge Wedoff*]. However, Congress wouldn't amend § 362(a)(3) to include conduct it already prohibits, thus suggesting a distinction between "possession" items capable of physical possession and "control" of intangible property not capable of physical possession. *See id.*

Although nonpossessory acts to control were not addressed in the original statutory language, legislative history for the originally enacted version of § 362(a)(3) mentions a distinction between "property over which the estate has control or possession." S. Rep. No. 95-989, at 50 (1978); H.R. Rep. No. 95-595, at 341 (1977). Consequently, this amendment broadened the scope

of § 362(a)(3) to encompass the exercise of intangible property rights long-recognized to affect the status quo of the estate. These intangible rights may include wrongfully selling property that the estate has an interest in or pursuing a cause of action that the estate is entitled to. A drastic change in existing rules "would not likely have been made" without unambiguous evidence of such change in the text of the statute, *Timbers*, 484 U.S. at 380; it is "most improbable" that such a change would be made without any mention in legislative history. *Id.* Thus, if § 362(a)(3) were interpreted to require immediate turnover, "it would represent a dramatic shift in both pre-Code and pre-amendment practice, all of which without one word of legislative history." *In re Young*, 193 B.R. at 626. "When Congress amends the bankruptcy laws, it does not write on a clean slate" *Dewsnup v. Timm*, 502 U.S. 410, 419 (1992) (citation and quotation omitted).

Prior to this amendment, "the common practice of conditioning turnover orders on proof of adequate protection continued." *In re Young*, 193 B.R. at 626. Indeed, even commentators supporting the passive violation approach have conceded that the pre-amendment practice required the debtor to "seek a court order requiring turnover under § 542(a), and in response the creditor could request adequate protection under § 363(e)." *See* Eugene R. Wedoff, *The Automatic Stay Under § 362(a)(3)—One More Time*, 38 BANKR. L. LETTER 7, July 2018, at 2. There is no evidence in the statute itself or within legislative history that Congress intended to change the pre-amendment view that § 362(a)(3) prohibits acts that threaten the status quo of the bankrupt estate. Brubaker, *(Part II)* at 10.

Further, had Congress intended repeal pre-amendment practice and mandate immediate turnover in its 1984 amendment, "more passive language such as 'retain control' would be found in the revision to § 362(a)(3)." John C. Chabot, *Some Bankruptcy Stay Metes and Bounds*, 99 Com. L. J. 301, 309 (1994). Additionally, Congress could have just as easily barred acts to "retain

possession" if it intended to prohibit creditors from holding property seized pre-petition. *In re Young*, 193 B.R. at 625. Accordingly, the 1984 amendment must be read as an expansion to affirmative nonpossessory conduct encompassing intangible rights that diminish the interest of the estate; not an expansion on possession—which is already addressed in the statute.

iii. Interpreting § 362(a)(3) beyond the plain meaning of its unambiguous text would produce absurd results.

An interpretation of § 362(a)(3) requiring a creditor to turn over property with which it has state-law right of possession without proof of adequate protection must be avoided because it is certain to produce absurd results. *See Griffin v. Oceanic Contractors, Inc.*, 458 U.S. 564, 575 (1982) ("[I]nterpretations of a statute which would produce absurd results are to be avoided if alternative interpretations consistent with the legislative purpose are available." (citation omitted)).

The passive violation view would eviscerate the long-standing precedent behind conditioning turnover on adequate protection; requiring a creditor to turn over legally-held collateral upon the filing of a bankruptcy petition—no questions asked. This approach incorrectly requires the creditor to assert any defenses and seek adequate protection *after* giving up their interest. *See, e.g.*, *Thompson*, 566 F.3d at 704. While the balance of equity is generally tipped in favor of the honest but unfortunate debtor, following the turnover procedures set forth in the Code strikes an equitable balance—avoiding the absurd results possible under the passive violation approach.

A creditor is clearly entitled to adequate protection. *See* 11 U.S.C. 363(e). Here, there is no indication that adequate protection was proffered. R. at 6. Given the state of Debtor's financial affairs, it is unlikely that Weinberg's interest would be adequately protected—leaving him high and dry when he was merely trying to aid an ailing business. Indeed, there are a few circumstances that expose the debtor to potentially irremediable harm. *See* Brubaker, *A Reply to Judge Wedoff*.

This risk is especially high with possessory liens and uninsured collateral. *Id.* A creditor would face irreparable harm and lose the protection § 363(e) provides if § 362(a)(3) were read to require turnover of collateral before the creditor can seek adequate protection. *In re Hall*, 502 B.R. at 660. The potential harm to a secured creditor stemming from mandatory, immediate turnover "far outweighs any harm to the debtor or the estate." *In re Young*, 193 B.R. at 626.

The passive violation approach would produce absurd results, especially when a secured creditor holds a possessory lien. A lien that is perfected by possession would be destroyed upon possession being relinquished. *In re Hall*, 502 B.R. at 660–61. As the Thirteenth Circuit pointed out, this situation would unfairly require a creditor to choose between immediate turnover—thereby potentially losing their possessory lien—and willfully violating the stay by retaining the property, exposing them to punitive damages under 11 U.S.C. § 362(k). R. at 14.

Further, mandating immediate turnover without adequate protection would make pre-petition repossession a wasted expense. *In re Young*, 193 B.R. at 627. Lack of adequate protection would undoubtedly lead to relief from the automatic stay and require the creditor to go through the unnecessary expense of a second repossession—which wouldn't have to occur if adequate protection was resolved prior to turnover. *Id.* Here, Weinberg went through the expense of having the snow plow trucks repossessed—which was likely an expensive endeavor given the size of snow plow trucks. R. at 6. It would be inequitable to require Weinberg to surrender these trucks without proof that his interest is protected. Given that Debtor couldn't even pay its labor, maintenance and fuel costs, *Id.*, it is unlikely that its insurance policy was still valid—destroying Weinberg's interest if the trucks were totaled or involved in some other casualty.

Requiring the commencement of an adversary proceeding to compel turnover of a lawfully-repossessed asset does not impose an unnecessary burden on the debtor or trustee. The property

was lawfully repossessed and, if it weren't for the bankruptcy proceedings would remain in the lawful possession of the secured creditor until disposition. Therefore, it is not unfair to require the party seeking turnover of collateral to conform with the procedural requirements set forth in the Code.

Thus, the Thirteenth Circuit's conclusion that a secured creditor has not violated the automatic stay by merely retaining lawfully repossessed collateral should be followed because it comports with a holistic reading of § 362(a)(3). Further, interpreting § 362(a)(3) to require immediate turnover is well beyond the text of the statute and has the potential to leave a secured creditor irreparably harmed—which is assuredly an absurd result Congress never intended to produce.

II. SECTION 503(b) DOES NOT PROHIBIT THE ALLOWANCE OF ADMINISTRATIVE EXPENSES TO A CREDITOR FOR ITS SUBSTANTIAL CONTRIBUTION IN A CHAPTER 7 FILING.

A bankruptcy court's award to a creditor for providing a benefit to the estate when the proceeding is under chapter 7 does not violate any Bankruptcy Code provisions. Incorrectly interpreting § 503(b) to prohibit an "administrative expense" when a chapter 7 creditor makes a "substantial contribution" requires selectively reading § 503(b)—which ignores its structure as a non-exhaustive list of examples. 11 U.S.C. § 503(b), (b)(3)(D) (2012). Reimbursing a creditor's expenses to incentivize a substantial contribution in a chapter 7 case is among the unenumerated types of administrative expenses that Congress permitted bankruptcy courts to award.

The language for the allowance of administrative expenses is unambiguous. A proper analysis "begins with the text of [§ 503(b)(3)] . . ., and we look to both 'the language itself [and] the specific context in which that language is used . . . .'" *Merit Mgmt. Grp., LP v. FTI Consulting, Inc.*, 138 S. Ct. 883, 893 (2018) (citation omitted). "It is well established that 'when the statute's

language is plain, the sole function of the courts—at least where the disposition required by the text is not absurd—is to enforce it according to its terms.'" *Lamie*, 540 U.S. at 534 (quoting *Hartford Underwriters Ins. Co.*, 530 U.S. at 6). Context and structure within the Bankruptcy Code are essential to interpret an isolated section because "[s]tatutory construction . . . is a holistic endeavor." *Timbers*, 484 U.S. at 371. When properly examined, § 503(b) permits an administrative expense to Weinberg within "a non-exhaustive list of claims entitled to administrative expense priority." R. at 19.

Thus, the Thirteenth Circuit, akin to a recent decision by its sister court, the Sixth Circuit Court of Appeals, R. at 16–21, adhered to this Court's mandate to interpret the Bankruptcy Code holistically—not merely read a subsection of § 503(b) in isolation. *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 815–17 (6th Cir. 2015) (holding that a creditor in a chapter 7 case was entitled to an administrative expense for a substantial contribution). Congress prefacing § 503(b) with expansive language was intentional and dispositive to this issue.

A. Section 503(b)'s plain meaning: an expansive list that allows administrative expenses for substantial contribution to the estate.

The allowance of an administrative claim for a creditor's "substantial contribution" is one among many types of administrative expenses:

> § 503. Allowance of administrative expenses
> (b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title,[3] *including*-
> (3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection,[4] incurred by-
> (D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed

[3] Section 502(f) provides the allowance of claims that arise from continuing the debtor's business after commencement of an involuntary bankruptcy; this is not such a case as the Debtor voluntarily petitioned for relief on February 4, 2017. R. at 6.

[4] Section 503(b)(4) allows an administrative expense for services rendered by attorneys or accountants employed by entities whose expenses are allowed to be paid under § 503(b)(3)(A)-(E). *See* R. at 17 n.10.

> under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title.

In re Health Trio, 584 B.R. 342, 351 (Bankr. D. Colo. 2018) (emphasis in original). Since *Connolly*, several courts have agreed with the Sixth Circuit's well-reasoned interpretation:

> [S]ection 503(b)'s list of administrative expense is expressly, by use of the term "including" and being joined by "and," nonexhaustive and demonstrative . . . [and] as in *Connolly* . . . the balance between strict construction and need is struck so long as there exists sufficient policy and legal justifications to add to the list.

E.g. In re Stainless Sales Corp., 579 B.R. 836, 844 (Bankr. N.D. Ill. 2017).

Congress' use of "including" is significant because the Code defines this term. Section 102(3) states that "including" is to be construed as "not limiting" i.e. what follows "including" must be broadly interpreted. 11 U.S.C. § 102(3) (2012); *see* 4 Collier on Bankruptcy ¶ 503.05 (16th ed. 2018) ("Some cases hold that administrative claims are limited to the specific types enumerated in section 503(b). These cases do not represent the better view."). This principle is consistent with the legislative history which sought to codify pre-Code case law. S. Rep. No. 95-989, at 28; *see, e.g.*, *American Sur. Co. of N.Y. v. Marotta*, 287 U.S. 513, 517 (1933) ("In definitive provisions of statutes and other writings, "include" is frequently, if not generally, used as a word of extension or enlargement . . . .").

Thus, when a statute prefaces with "including" a group of items—such as allowed administrative expenses—and proceeds to enumerate some items in that group, it is understood there are others—such as a creditor like Weinberg making a substantial contribution in a chapter 7 case—that are unenumerated. *Mediofactoring*, 802 F.3d at 815–17; *see Al Copeland Enterprises, Inc. v. Texas (In re Al Copeland Enterprises, Inc.)*, 991 F.2d 233, 238 (5th Cir. 1993) ("[A]dministrative expenses entitled to first priority status are not necessarily confined to those enumerated at 11 U.S.C. § 503(b)."); *Ala. Surface Mining Comm'n v. N.P. Mining Co., Inc. (In re*

N.P. Mining Co., Inc.), 963 F.2d 1449, 1453 (11th Cir. 1992) ("It is clear from the face of the statute, however, that expenses not explicitly listed in section 503(b) can receive administrative-expense status . . . as a nonlisted administrative expense under 503(b) in general."); *United States v. Ledlin (In re Mark Anthony Const., Inc.)*, 886 F.2d 1101, 1106 (9th Cir. 1989) ("[T]he structure of section 503(b) is inconsistent with a restrictive interpretation of its list of administrative expenses."). This construction is "the rule both in good English usage and in textualist decision-making." Antonin Scalia & Bryan A. Garner, *Reading Law: The Interpretation of Legal Texts* 132 (2012). A holistic review of this interpretation shows that it is correct.

B. A contextual interpretation of § 503(b) supports the allowance of administrative expenses for substantial contributions in chapter 7.

Viewed within the context of § 503, it is logical to conclude that § 503(b) allows an administrative expense to Weinberg. One court, when determining whether to allow an administrative expense for the substantial contribution of a creditor in a chapter 7 case, examined § 503 to conclude that "including" logically extends to its various subsections. *In re Maqsoudi*, 566 B.R. 40, 43–44 (Bankr. C.D. Cal. 2017). The *Maqsoudi* court interpreted § 503(b) "as one coherent sentence" as follows:

> *After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including* the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by *a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title*.

566 B.R. at 44 (emphasis in original). The court found "illogical" the interpretation by other courts that limited the expansive list of § 503(b)—particularly when it would be "grammatically improper that the earlier italicized text only corresponds to the non-italicized text but does not impact the later italicized text." *Id*. at 44–45.

Maqsoudi thus answered the certified question here with a question of its own: "[i]f the subsections of § 503(b)(3) cannot be expanded to include the request [for an administrative expense for a creditor's substantial contribution in a chapter 7 case], what prevents the applicant from requesting the expansion of the subsections of § 503(b) to allow the request?" 566 B.R. at 44. The answer then and now is nothing except § 503 read in its entirety: § 503(b) disallows claims that arise under 11 U.S.C. § 502(f); and § 503(c) has specific expenses that a court cannot grant. *See* 11 U.S.C. § 503(c) (2012); *In re Maust Transport, Inc.*, 589 B.R. 887, 893 (Bankr. W.D. Wash. 2018). The specific exclusions found in § 503 bolster the conclusion that Congress permitted a court to grant administrative expenses to chapter 7 creditors because Congress could have included an express exclusion for chapter 7 cases and chose not to. *Mediofactoring*, 802 F.3d at 818.

Because a holistic interpretation invites a court to examine the entirety of the Code, the correct interpretation of § 503(b) must be consistent with how other provisions are construed. "Undoubtedly, there is a natural presumption that identical words used in different parts of the same act are intended to have the same meaning." *Atlantic Cleaners & Dyers, Inc. v. United States*, 286 U.S. 427, 433 (1932). Section 707(a) confers the bankruptcy court authority to dismiss a chapter 7 case "for cause" which—like administrative expenses—is undefined and has a similar structure to § 503(b) by providing illustrative examples. *Compare* 11 U.S.C. § 707(a) (2012) *with* § 503(b); *Smith v. Geltzer (In re Smith)*, 507 F.3d 64, 72 (2d Cir. 2007). The interpretation of § 707(a) underscores the incongruity of § 503(b)'s interpretation by some courts.

Several circuits have properly construed § 707(a) to be a non-exhaustive list which permits discretion to grant or deny dismissal for reasons outside of its enumerated examples, as opposed to the incorrect conclusion reached by other courts and the dissent in this case that limited § 503(b) despite similar language and structure. R. at 28–30. *See Smith*, 507 F.3d at 72; *Neary v. Padilla*

(In re Padilla), 222 F.3d 1184, 1191 (9th Cir. 2000); *Dionne v. Simmons (In re Simmons)*, 200 F.3d 738, 743 (11th Cir. 2000); *Huckfeldt v. Huckfeldt (In re Huckfeldt)*, 39 F.3d 829, 831 (8th Cir. 1994); *Indus. Ins. Servs., Inc. v. Zick (In re Zick)*, 931 F.2d 1124, 1126 (6th Cir. 1991). That another, similar provision in the Code would be interpreted differently than § 503(b) is reason to doubt the conclusion reached by implication rather than the plain text.

Neither of the canons of statutory interpretation used by courts to imply a prohibition on granting administrative expenses to a creditor like Weinberg are applicable here. R. at 28–29. The mistaken view that § 503(b) is limited is found by inexplicably concluding that "the clear language of inclusion [of § 503(b)] is trumped by implication, relying on the precept *expressio unius est exclusio alterius* . . . [and] that the specific [provision of § 503(b)(3)(D)] governs the general [§ 503(b) provision]." *In re Connolly N. Am., LLC*, 802 F.3d at 817–18 (citation and internal quotation omitted). However, based on the same strained construction of § 503(b) with *expressio unius*, Congress amended the Code in 1994 to correct flawed decisions that denied administrative expenses to some creditors' committees. *In re Maust*, 589 B.R. at 893. Amending the Code in 1994 because of courts' incorrect interpretation highlights why this Court has often warned courts that *expressio unius* is inapplicable "unless it is fair to suppose that Congress considered the unnamed possibility and meant to say no to it." *Marx v. General Revenue Corp.*, 568 U.S. 371, 381 (2013) (citation and internal quotation omitted). Viewing § 503(b)'s legislative history, Congress did not consider whether to prohibit an administrative expense for substantial contribution in chapter 7.

Any claim that Congress did not intend administrative expenses under § 503(b) for substantial contributions in chapter 7 is overstated. R. at 28–29. The legislative history shows that Congress *only* considered chapters 9 and 11—with no mention of considering its application to chapter 7. *See* S. Rep. No. 95-989, at 66. Based on the plain language of § 503(b) and the paucity

of other intent, it is far more likely Congress granted bankruptcy courts discretion to allow or deny administrative expenses. *See Chevron USA, Inc. v. Echazabal*, 536 U.S. 73, 80 (2002) (concluding *expressio unius* was inapplicable when list was prefaced with "may include" because expansive language granted courts discretion and discouraged a cramped interpretation). A proper analysis will find reliance on the general-specific canon is similarly misplaced.

The similarities between this Court's decision employing the general-specific canon and this case begins and ends with: this Court construed a provision of the Code. *RadLAX Gateway Hotel, LLC v. Amalgamated Bank*, 566 U.S. 639, 641 (2012). Section 1129(b)(2)(A) governs the requirements for a fair and equitable plan of reorganization, found in another chapter of the Code than the provision at issue here. *Id*. at 643–46. Further, § 503(b), unlike § 1129(b)(2)(A), is applicable to chapters 7, 11, 12, and 13. *See* 11 U.S.C. § 103(a) (2012). As this Court correctly held, § 1129(b)(2)(A) is structured as an *exhaustive* list of three *requirements* that a court must follow for a plan to be confirmed over the objection of creditors, *RadLAX*, 566 U.S. at 643–44, whereas § 503(b)(3)(D) is one among many *examples* that are *non-exhaustive*. The canon of interpretation that specific language overrides general language was applicable in *RadLAX* because the provision precisely described the circumstances at issue and circumscribed what the court ordered. *Id*. at 646. In contrast, the circumstances here are not precisely what Congress exemplified in § 503(b)(3)(D) because this is neither a chapter 9 or 11 case, R. at 17—and therefore inapplicable by its plain language. Thus, the expansive nature of § 503(b) has long been understood by courts to grant administrative expenses in other chapters of the Code.

C. Courts have correctly exercised their sound judgment to grant administrative expenses beyond the examples of § 503(b).

Courts frequently grant administrative expenses under the discretionary nature of § 503(b)—an exercise consistent with pre-Code practice. *See, e.g.*, *In re Integrity Supply, Inc.*, 417

B.R. 514, 521–22 (Bankr. S.D. Ohio 2009) (concluding that party should be allowed administrative expense by broadly interpreting § 503(b)'s grant of authority to the court); *In re Pappas*, 277 B.R. 171, 175–76 (Bankr. E.D.N.Y. 2002) (allowing chapter 7 creditor administrative expense outside of the enumerated examples of § 503(b)); *In re Zedda*, 169 B.R. 605, 607–08 (Bankr. E.D. La. 1994) (granting administrative expenses for assistance to trustee); *Cornell v. Nichols & Langworthy Mach. Co.*, 201 F. 320, 322–23 (2d Cir. 1912) (concluding that substantial assistance in the estate's claims entitled creditors to repayment of expenses). Therefore, the unambiguous language of § 503(b) permits a court to grant administrative expenses to a creditor like Weinberg.

Reading § 503(b)(3)(D) as diminishing the bankruptcy courts' discretion and prohibiting awarding administrative expenses for substantial contributions in chapter 7 misconstrues this provision. R. at 28. Section 503(b)(3)(D)'s correct interpretation is as a narrow example, applicable only to chapters 9 and 11, but otherwise not limiting a court's allowance of administrative expenses under a chapter 7 proceeding. Interpreting the Code in this manner gives meaning to every word of § 503(b) by placing § 503(b)(3)(D) in its proper context—an example among others that reaches a result under a narrow set of circumstances. No word of the Code is rendered superfluous by this interpretation as described in *RadLAX*, 566 U.S. at 645—an unavoidable result via other interpretations. Accordingly, the use of the general-specific canon would be satisfied when the facts fall precisely within the delineated example of § 503(b)(3)(D).

Thus, the mere fact that Weinberg made a substantial contribution to the estate in chapter 7, R. at 7–8, does not foreclose allowing an administrative expense under § 503(b). A holistic interpretation demonstrates that § 503(b) should be read together with, but is not limited by, § 503(b)(3)(D); therefore, the Thirteenth Circuit correctly recognized the bankruptcy court, within

the confines of the Code, could exercise its equitable powers to grant relief to Weinberg. R. at 8, 20.

D. Benefit to the estate—the bankruptcy court's equitable determination is unimpeachable within the code's fundamental policies.

Bankruptcy courts have long been recognized as courts of equity. *See Local Loan Co. v. Hunt*, 292 U.S. 234, 240 (1934) ("[C]ourts of bankruptcy are essentially courts of equity, and their proceedings inherently proceedings in equity."). Pursuant to its constitutional power, Congress gave bankruptcy courts equitable powers to effectuate bankruptcy policy throughout the country. U.S. Const. art. I, § 8, cl. 4; *see Norwest Bank Worthington v. Ahlers*, 485 U.S. 197, 206, (1988) (concluding that the bankruptcy court's equitable powers are "exercised within the confines of the Bankruptcy Code."). Congress included a specific provision within the Code for precisely this purpose: "[t]he court may issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title." 11 U.S.C. § 105(a) (2012). This bedrock principle is consistently found in this Court's decisions. *See, e.g.*, *Young v. United States*, 535 U.S. 43, 49–50 (2002); *Pepper v. Litton*, 308 U.S. 295, 304 (1939) ("[A] bankruptcy court . . . applies the principles and rules of equity jurisprudence.").

Recognition by the Thirteenth Circuit of an administrative expense to a creditor like Weinberg as equitable, R. at 20–21, is within the confines of the Code and advances the policies underlying § 503. When a bankruptcy court exercises its equitable powers, specific provisions of the Code must sustain the exercise, or the practice is so common as to be described as "hornbook law" for the bankruptcy court to use. *Young*, 535 U.S. at 49—50 (concluding equitable tolling is a quintessential exercise of a court's equitable power that, unless contrary to statute, a bankruptcy court may exercise); *see, e.g.*, *Marrama v. Citizens Bank of Ma.*, 549 U.S. 365, 372–73 (2007) (concluding that the inherent power of a bankruptcy court to prevent abuse of process allows

dismissal of a petition under an unenumerated bad-faith cause implied within the Code's provisions); *Mediofactoring*, 802 F.3d at 819 (concluding that allowing administrative expenses to a creditor in a chapter 7 case for a substantial contribution was not prohibited by the Code whereas denying the expense would "impugn" the court's equitable nature); *In re Saxman*, 325 F.3d 1168, 1174–75 (9th Cir. 2003) (holding that bankruptcy courts could exercise equitable powers to partially discharge student loans rather than a "all-or-nothing" approach). Granting Weinberg an administrative expense fulfills both requirements.

Contrasting this case with a recent holding by this Court illustrates that granting an administrative expense to Weinberg was a proper exercise of equitable power within the confines of the Code. In *Law v. Siegel*, this Court reversed use of § 105(a) to order the "surcharge" of a debtor's exempt homestead to pay administrative expenses. 571 U.S. 415, 420–23 (2014). The bankruptcy court's exercise of its equitable powers was expressly prohibited by the language of § 522(k) which made the property in question unavailable for payment of administrative expenses. *Id.* at 422. Arguments that § 522's language did not limit the bankruptcy court's discretion to disallow the exemption, or create a new exception, were rejected because the debtor, not the court, had discretion regarding which property would be exempted. *Id*. at 423–24. Limitations and exceptions were "meticulous—not to say mind-numbingly detailed" which precluded authority to establish new limitations. *Id*. at 424.

As discussed above, § 503(b)'s textual interpretation permits the bankruptcy court to award Weinberg an administrative expense. Unlike the express prohibition found in *Law*, § 503(b) requires use of two canons, which are inapplicable, to obtain a prohibition that is contrary to a more simple and logical interpretation of the Code. The bankruptcy court under § 503(b) has broad powers to award an administrative expense because the court can conduct a hearing on the issue—

that is, the discretion missing in *Law* to determine whether and how much to allow as an administrative expense. Section 503(b)'s expansive language, evidenced by the use of "including" as opposed to the narrow list of exceptions and limitations in *Law*, bolsters the ability of a court to craft in its sound judgment an administrative expense.

"It is in precisely this situation that bankruptcy courts' equitable powers are most valuable, for the courts are able to craft flexible remedies that, while not expressly authorized by the Code, effect the result the Code was designed to obtain." *Official Comm. of Unsecured Creditors of Cybergenics Corp. v. Chinery (In re Cybergenics Corp.)*, 330 F.3d 548, 568 (3d Cir. 2003) (en banc) (holding that the Code's text and equitable considerations allow granting derivative standing to creditors' committees to recover property for the benefit of the estate). A fundamental principle is the "general Code policy of maximizing the value of the bankruptcy estate." *Toibb v. Radloff*, 501 U.S. 157, 163 (1991). Under the prior bankruptcy Act, courts analyzed whether a party provided the estate with a benefit that was non-duplicative to determine expense allowance—a principle that Congress expressly adopted by the inclusion of substantial contribution into the Code. *In re Elec. Mach. Enterprises, Inc.*, 371 B.R. 549, 552 (Bankr. M.D. Fla. 2007) (citing *Randolph & Randolph v. Scruggs*, 190 U.S. 533, 539 (1903)); *see generally*, Mark A. Cohen, Note, *Reimbursement of Indenture Trustees for Substantial Contribution under Section 503 of the Bankruptcy Code*, 59 Fordham L. Rev. 647, 651–65 (1991) (discussing the historical origins § 503, the meaning of substantial contribution as benefit to the estate, and congressional intent to allow, not curtail, administrative expenses). Consideration of § 503's other objectives reach the same conclusion.

Congress sought fulfillment of two goals: promoting meaningful participation in the bankruptcy proceeding by creditors for good of the proceeding itself and ensuring estate assets are

not distributed as administrative expenses without good cause. Keith J. Larson, *Congress: Resolve Split on Ch. 7 Substantial-Contribution Claims*, AM. BANKR. INST. J., Apr. 2016, at 20, 111. However, these two goals can be at odds. *Id.* To resolve that potential conflict, policy and the Code permits a court to use its sound judgment to balance the competing interests based upon the particular circumstances of the case. *Cf. Reading Co. v. Brown*, 391 U.S. 471, 477, 483–84 (1968) (expansive reading and objectives of prior bankruptcy Act allowed recovery of tort claim as an administrative expense). A review of the facts surrounding Weinberg's act shows that this is one such situation.

Here, the court and the Trustee both acknowledged that Weinberg's actions benefitted the estate and unsecured creditors by recovering $75,000 for an estate bereft of assets. R. at 7–8. Additionally, the action was non-duplicative as the Trustee was not in a position to examine the Debtor because the Trustee was appointed barely a month before. R. at 7. Weinberg could have requested an allowance for the "actual, necessary costs and expenses of preserving the estate." 11 U.S.C. § 503(b)(1)(A) (2012). Or petitioned the court for permission to pursue the claim on behalf of the estate, *see* 11 U.S.C. § 503(b)(3)(B) (2012), with or without notifying the Trustee of the claim and requested administrative expenses, but instead chose to cooperate with the Trustee. R. at 7, 17 n.9. It is incomprehensible and impugns the equitable nature of the court that Weinberg would be rewarded for going around the Trustee, and waste valuable judicial and estate resources if contested, but be punished for cooperating with the Trustee. For that reason, the court exercised its equitable power within the confines of the Code—under a textual, purposivist, and historical analysis—by allowing Weinberg to be reimbursed for the benefit provided to the estate.

CONCLUSION

For the foregoing reasons, Respondent, Milton Weinberg respectfully requests that this Court **affirm** the judgment of the United States Court of Appeals for the Thirteenth Circuit and hold that (1) under § 362(a)(3) a secured creditor's passive retention of collateral lawfully repossessed pre-petition without a turnover order or receipt of adequate protection does not violate of the automatic stay and (2) that under a proper interpretation of § 503(b)'s plain language the bankruptcy court is permitted to grant an administrative expense for the substantial contribution of a creditor in a chapter 7 case.

Respectfully Submitted,

Team 26/R

Counsel for Respondent

APPENDIX A

11 U.S.C. § 102 (2012)

In this title—

(1–2) [omitted]

(3) "includes" and "including" are not limiting;

. . . .

APPENDIX B

11 U.S.C. § 103(a) (2012)

(a) Except as provided in section 1161 of this title, chapters 1, 3, and 5 of this title apply in a case under chapter 7, 11, 12, or 13 of this title, and this chapter, sections 307, 362(o), 555 through 557, and 559 through 562 apply in a case under chapter 15.

APPENDIX C

11 U.S.C. § 105(a) (2012)

(a) The court may issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title. No provision of this title providing for the raising of an issue by a party in interest shall be construed to preclude the court from, sua sponte, taking any action or making any determination necessary or appropriate to enforce or implement court orders or rules, or to prevent an abuse of process.

APPENDIX D

11 U.S.C. § 362 (2012)

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

(1–2) [omitted]

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

. . .

APPENDIX E

11 U.S.C. § 363 (2012)

(a) [omitted]

(b) **(1)** The trustee, after notice and a hearing, may use, sell, or lease, other than in the ordinary course of business, property of the estate, except that if the debtor in connection with offering a product or a service discloses to an individual a policy prohibiting the transfer of personally identifiable information about individuals to persons that are not affiliated with the debtor and if such policy is in effect on the date of the commencement of the case, then the trustee may not sell or lease personally identifiable information to any person unless—

. . . .

(2) [omitted]

(c–d) [omitted]

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

. . . .

APPENDIX F

11 U.S.C. § 503 (2012)

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

(1)(A) the actual, necessary costs and expenses of preserving the estate including—

. . .

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—

(**A)** [omitted]

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) [omitted]

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

. . . .

APPENDIX G

11 U.S.C. § 542 (2012)

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

. . . .

APPENDIX H

11 U.S.C. § 707(a) (2012)

(a) The court may dismiss a case under this chapter only after notice and a hearing and only for cause, including—

(1) unreasonable delay by the debtor that is prejudicial to creditors;

(2) nonpayment of any fees or charges required under chapter 123 of title 28; and

(3) failure of the debtor in a voluntary case to file, within fifteen days or such additional time as the court may allow after the filing of the petition commencing such case, the information required by paragraph (1) of section 521(a), but only on a motion by the United States trustee.

. . . .